

FRANK'S CHEESE

Type of case: Strategy

Frank's cheese company has been producing very high quality cheese for distribution and sales in the upper East Coast for over thirty years. Their main competition over these thirty years comes from Joe's cheese company, which also produces very high quality cheese.

These two competitors have had a friendly rivalry over time and each holds about a 30% share of the market. Recently, Frank and Joe have seen their profits drop. Frank blames the decline in profits on increased advertising and promotional spending.

You have just a few minutes to determine if Frank is correct and suggest solutions. How do you proceed?

SOLUTION STRUCTURE

- Quick check for changes to the costs or revenues
- Analysis of competition, Joe and other
- Analysis of other potential problems

Cost Driver Assumptions:

Any changes in: Dairy products (raw materials), production costs, distribution costs, marketing costs, other?

A: No major changes except for an increase in promotional costs (couponing and retail price reductions)

Revenue Driver Assumptions:

Q: Any changes in: Price, number of accounts, sales levels, type of cheese sold, quality of cheese?

A: Have taken periodic price reductions; No major changes.

Assumptions:

Frank has increased promotional spending and reduced prices, most likely due to an increase in competitive pressure. Have we seen increased competition?

A: Yes, many of our accounts are offering private label cheeses at half our retail price

What do we know about the private label cheese? Quality?, Consumers?

A: Lower quality than Frank's two consumer segments: Those who do a lot of home cooking and use only Frank's or Joe's, and those who just stop in and pick up a block of cheese.

Why have we been discounting? Are we losing our loyal customers?

A: No. We're just under a lot of pressure from the retailer to match prices.

Issues:

Due to competitive pressure from private label, Frank and Joe have taken periodic price reductions. This has hurt their margins and may also cause them to lose their loyal customers (and lose their high-quality brand image).

Recommendations:

Maintain premium price levels for Frank's current line of high quality cheese.

Manufacture a lower cost product under a different brand name to compete with private label brands.

Utilize advertising revenues to communicate the benefit of using high quality cheese.